taxpayers some $2.3 billion a year. Some agencies were still using cardboard checks, which business hadn't used for years.

• Of the seventeen thousand computers used by the federal government, half were so obsolete that their manufacturers refused to service them. The bureaucracy's process for purchasing new computers took an average of more than two years, an interval guaranteed to perpetuate this obsolescence.

• Despite eighty thousand pages of government procurement regulations and twenty thousand additional pages generated every year, federal employees had virtually no incentive to seek the lowest cost for items they purchased for the government, or to find less expensive ways of carrying out any of their duties for government. The incentive to work efficiently and at the least cost, which is found in any well-managed business, simply did not exist in the government.

• While salaries paid many categories of federal civil service workers were at least as high as those of Americans in comparable jobs in private industry, the value of their fringe benefits, on average, was seventy-six percent more than in the private sector.

• Pensions paid federal civilian employees were almost twice as high as those for Americans with comparable jobs in private business.

• Fraud and waste were common in government entitlement programs, amounting in the federal food stamp program alone to at least $1 billion a year—a sum equivalent to the income taxes paid by 450,857 median-income families. The Social Security Administration was found to have made $14.6 billion in erroneous payments in the years 1980-1982.

Of the Grace Commission's 2,478 recommendations, we were able to implement almost 800, which saved taxpayers